

TSAT pitch deck

PITCH — TSAT — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order; both benches land on “don’t own it yet,” and they land there for a reason neither of them argued well.

What we believe

Telesat is building a low-earth-orbit satellite network (“Lightspeed”) that is, on the company’s own numbers, worth more than the whole company’s stock is currently priced at. In August 2026 it signed a Canadian government defence contract worth about US\$1.93 billion firm (US\$2.7 billion if every option is exercised), expanded the planned constellation from 156 to 225 satellites, and raised its own 2032 revenue forecast for the business from US\$3.2 billion to US\$4.9 billion. Management says the build is fully funded and commercial service starts around the end of Q1 2028.

If you take the *prior*, un-raised forecast — US\$3.2 billion of 2032 revenue, a 50% margin, an 8× multiple, subtract the US\$3.0 billion of debt at the satellite business, discount six years at 20%, give the legacy business zero credit, and divide by the real economic unit count — you get roughly **US\$57 per unit against a US\$44.30 tape**. That is about 29% of upside without believing a single word of the three-week-old forecast raise. That is the bull case, and it is live, not dead.

But we do not believe we can own it, because we do not believe Telesat’s parent company clearly owns the prize. There is an active fraudulent-transfer lawsuit in New York and Ontario over the September 2025 corporate reorganization that moved the Lightspeed equity between affiliates. The people suing are distressed-debt creditors who have read the loan documents more carefully than we have. If they win, the satellite business re-attaches to the legacy business’s creditors before it reaches the stock. Title to the asset, not funding of the asset, is what is actually in question — and we have not read the complaints.

What the market believes

The market believes roughly what we believe, and is priced roughly where our corrected math says it should be. Deutsche Bank carries a \$52 price target with a Hold rating; the stock is \$44.30. The stock has already roughly doubled off its 52-week low of \$19.83 (it is up 123% from the low) and sits 28% below its 52-week high of \$61.54. That is a giveback inside a double, not a crash.

The market also believes — correctly, and before we did — that the legacy satellite business is shrinking fast (Q2 revenue down 26% year-over-year, segment EBITDA down 42%) and that roughly C\$2.4 billion of that business’s debt was reclassified as due-within-a-year, with maturities starting December 2026 and running to October 2027. The auditors’ “substantial doubt about going concern” language has been public since the annual report on 2026-03-17.

Why we might have edge

Three things, honestly ranked:

1. **The capex number moved and “fully funded” did not.** The 2026 Lightspeed spending guide went up roughly US\$300 million (from \$1.0–1.2B to \$1.3–1.5B) in the same release that reaffirmed the build is fully funded. Cash fell from \$509.8M to \$383.2M over six months, H1 Lightspeed outlay was \$337M, and the company then borrowed another US\$120M in August “for general corporate purposes.” “Fully funded” now leans on about US\$2.0 billion of Canadian government milestone payments running from Q3 2026 to Q4 2028 under a contract signed three weeks ago. We could not find a sell-side note carrying this. This is the one genuinely fresh fact either bench produced.
2. **The company disclosed two different moods on the same day in two different places.** The press release — the venue investors actually read — contains no going-concern language at all. The interim financial statements filed the same day contain “substantial doubt.” The press release also frames the C\$559 million quarterly loss as scary; the notes reveal that the largest driver of that loss is the company marking *up* its own satellite business. Same number, two opposite stories, two venues.
3. **The share count in most screens is wrong.** Telesat Corp has 15.2 million shares, but there are another 36.2 million partnership units with the same economics — 51.4 million total. Telesat Corp itself owns only about 30% of the partnership. Anyone doing per-share math off the corporate count is off by more than 3×, in the direction of making the company look smaller and cheaper than it is.

Why it might be priced in

- **Two of our three “new facts” were old.** The going-concern flag: five months old. The debt reclassification: disclosed at Q1 in May. We built a causal story about the recent price decline on stale news.
- **Deutsche Bank’s \$52 sits inside our own fair-value band.** We are not diverging from the street on the valuation; we are diverging on whether the lawsuit matters.
- **The upside requires the forecast raise, not the financing.** The prize clears +50% (about \$66) at roughly US\$3.6 billion of 2032 revenue. That is below the new deck but above the old one — so the trade is a bet on a management forecast raised three weeks ago, sourced from one customer, one government.
- **The counterparty on the other side of the lawsuit is better informed than we are.** Distressed creditors litigating a specific transaction have read documents we have not.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Market cap is \$1.7B” (original brief)	Share/unit count pulled from the 6/30/26 interim statements	15,219,358 corp shares + 36,158,008 LP units = 51.38M economic units × \$44.30 = US\$2.28B	No — brief refuted. But our red bench then mis-diagnosed <i>how</i> the brief got it wrong (it claimed the brief used the 14.9M EPS count; 14.9M × \$44.30 = \$660M, so the brief used neither count). Substance right, diagnosis wrong.
“The 2026-08-13 6-K carried a new going-concern warning that caused the drop”	EDGAR filing inventory + secondary corroboration	Flag first appeared with the 20-F on 2026-03-17 and was repeated at Q1 on 2026-05-05	No — refuted. Five months stale.
“Debt reclassified to current is new news”	Q1 6-K text	Already disclosed in May (~C\$2.4B, “December 2026 and October 2027”)	No — refuted.
“Fully funded” vs the actual spend	Primary press release, SEC EX-99.1 2026-08-13	FY26 Lightspeed guide raised ~US\$300M; cash \$509.8M → \$383.2M; US\$120M borrowed in August	Yes — and it is the only fresh datum.
Government warrants dilute 23.74% of Lightspeed (red bench’s single strongest kill)	Blue bench pulled Telesat’s own SEC-filed material change report on the financing: SEC EX-99.1, 2024	Canada gets warrants for 10% , Quebec for 1.87% — total 11.87% , not 23.74%	No — our own red bench doubled it. This is the most consequential error in the file: red built its headline kill on a number that was 2× too big.
Fair value per unit	Blue re-ran the table with the corrected 88.13% multiplier	Every row rose 15.6%: US\$4.9B revenue → \$95 ; US\$3.2B → \$57 ; US\$2.0B → \$29 ; US\$1.2B → \$10 . +50% clears at ~US\$3.6B, not ≥US\$4.0B	Red’s “priced = fair, we agree with the street” is overturned — it was an artifact of the doubled percentage.
“The company’s own numbers say the satellite business is worth more than the whole company”	Warrant liability C\$832.4M → C\$1,320.2M; divide by the warrant’s equity share	At red’s 23.74%: implies C\$5.56B. At the correct 11.87%: implies ~ C\$11.1B — and higher still if the warrants carry the US\$3B strike rather than being nominal	Confirmed arithmetically, rejected as evidence. This is the company marking its own unlisted subsidiary. It is not an outside price. It cannot grade the tape in either direction, and both benches over-read it.
Warrants become exercisable 2026-11-15, cashless permitted	Blue tried to read the warrant note	Could not reach it — the exhibit is 9.4MB and truncated through our proxy	No — uncorroborated. Red asserted the date; nobody verified it. Do not treat it as a dated event.

Claim	How checked	Found	Confirmed?
The recent price move (“–18.7% in five days”)	IBKR history / contract lookup	Permission denied on both benches; the price path rests entirely on secondary sources	No — coverage gap, and it is ours, not the market’s.
Where the going-concern text actually lives	Accession-level check	It is in 0001213900-26-088672 (interim statements), not ...88683 (the press release) — our own brief cited the wrong accession	Self-corrected.

Two further cautions the benches did not raise, which belong here rather than in a footnote: the fair-value table mixes US-dollar revenue and debt against a Canadian-dollar warrant mark and a Canadian-dollar reporting currency, and the “implied C\$11.1B” figure ignores the warrants’ strike price entirely. Both cut in the direction of “this number is softer than it looks.”

PROPOSED ENTRY BANDS

The courts say no entry. No buy, no order staged, no size. What follows are the conditions under which we would look again.

The binding constraint is title, not price and not funding. A company whose ownership of its main asset is being contested in two courts is not something we take fair-value risk in — we can only own it at a discount that pays us for possibly losing the asset outright. So there are two separate reopen paths.

Path A — reopen on price alone (title still contested). Weighting the corrected table across outcomes — 15% the new US\$4.9B deck, 30% the prior US\$3.2B deck, 35% a US\$2.0B outcome, 20% a US\$1.2B outcome — gives about **\$43.5 per unit**, essentially the tape. Add a 20% branch where title is lost or the refinancing cascades into the equity (recovery ~\$5), and expected value falls to about **\$36**. Our discount for contested title is 15%, which puts the reopen level at:

- **Buy gate: \$30 or below.** Starter size **0.5% of the book**, hard cap **1.0%**, no adds while the lawsuits are live.
- If you credit the new deck more heavily (30% weight instead of 15%), the same arithmetic gives ~\$44.5 expected value and a **\$38** gate. We are arming the conservative one. The honest range is \$30–\$38, and the spread is entirely a function of how much you believe a three-week-old forecast raise.

Path B — reopen on title (price at market). If the New York and Ontario fraudulent-transfer actions are dismissed, settled, or released, **and** a signed refinancing or exchange for the December 2026 maturity exists, the taint lifts and the ordinary rule applies: buy at or below 85% of the conservative fair value, using the *prior* deck, not the raised one.

- **Buy gate on clearance: \$48 or below** ($0.85 \times \57). Starter **0.5%**, scaling to **1.5%** only after the first ESCP-P milestone payment is actually received in cash.
- A refinancing **alone is not an entry**. Funding was never the binding constraint.

Tripwires that say we were wrong to wait: - Above \$61.54 (52-week high) with the lawsuits unresolved: the market is pricing the raised deck in full and our patience cost us the trade. Re-court, do not chase. - **Below \$19.83** (52-week low): something in the title or refinancing branch is resolving badly. Re-court *before* treating it as cheap, not after.

Dates that matter: - ~2026-09-30 onward — first Canadian government milestone receipts under ESCP-P (schedule not filed; unconfirmed). - **2026-11-10** — next earnings print. Derived from a data vendor, **not confirmed by any company announcement.** - **2026-11-15** — claimed opening of the government warrant exercise window (11.87% of the satellite business, possibly cashless). **Unverified.** **Do not plan around it until the note is read.** - **December 2026** — first tranche of legacy-business debt matures. Exact day unread; the company says it “starts to mature later this year.” - **October 2027** — second maturity tranche. - **Around end of Q1 2028** — target for commercial service.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 19.83 (deck-provisional: 52-week low; a revisit implies the title or refinancing branch is resolving badly — re-court before tr)
- filing watch: 6-K until 2027-02-18 (deck-provisional: Any signed refinancing, exchange, amendment, or waiver on the legacy GEO debt maturing December 2026 —)
- dated pack TSAT|2026-09-30: TSAT: First Canadian government ESCP-P milestone receipts expected to begin (Q3 2026); schedule not filed. (date confirmed=False)
- dated pack TSAT|2026-11-10: TSAT: Next earnings print — vendor-derived, no company announcement names it. (date confirmed=False)
- dated pack TSAT|2026-11-15: TSAT: Claimed opening of the Canada/Quebec warrant exercise window (11.87% of Telesat LEO); date asserted by one bench, uncorroborated. (date confirmed=False)
- dated pack TSAT|2026-12-31: TSAT: First tranche of GEO debt matures during December 2026; exact day not read from the credit agreement. (date confirmed=False)
- dated pack TSAT|2027-10-31: TSAT: Second GEO debt maturity tranche (October 2027); exact day unread. (date confirmed=False)

What remains unverified

- **The lawsuits themselves.** Neither bench read the New York or Ontario complaints. The reason we are flat is the thing we did not read. That is backwards and it is the top of the work queue.
- **The restricted-payment provisions of the legacy business's credit agreement** — the document that determines whether the September 2025 transfer was permitted.
- **The warrant terms:** exercise date, strike price, whether cashless exercise is allowed. Red asserted 2026-11-15; blue could not confirm it. If the warrants are struck at the US\$3 billion valuation rather than being nominal, the implied value of the satellite business is higher still.

- **The price path.** The claimed decline that started this whole review is secondary-sourced. IBKR access was denied to both benches.
- **Whether there is a tax-receivable agreement** attached to the partnership structure — a common value leak in this kind of two-class setup. Requires the annual report's tax note; not checked.
- **Standalone financials for the satellite business.** None are filed. The segment carrying essentially the entire equity story cannot be audited on its own.
- **The 2026-11-10 earnings date.** Vendor-derived; no company announcement names it.
- **The 2032 revenue forecast itself.** It was raised 53% on a single government contract three weeks before we looked. It is the load-bearing input in every valuation row above and it has no external corroboration.

Where the benches disagree and we are siding with blue: the warrant dilution is 11.87%, not 23.74%, because blue sourced it from Telesat's own filed material change report and red did not source it at all. Red's verdict (reject) survives; red's reasoning for it does not.

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